

website, Fidelity describes Bitcoin as an “aspirational store of value.” Perhaps it imagines that senior citizens will retire on their aspirations.

Not unlike the speculative markets in Graham’s day, crypto has been virtually unregulated. The field attracted huckstering reminiscent of the salesmen in the 1920s. Back then, Charles E. Mitchell (a.k.a. “Sunshine Charley”), the president of National City Bank, floated hundreds of millions’ worth of securities, including highly speculative Peruvian bonds, to small investors. Come the crash, many were wiped out. In the benighted modern era, Michael Saylor, CEO of MicroStrategy, borrowed \$2.4 billion and also issued shares, the proceeds of which he plowed into more than \$3 billion of Bitcoin. Saylor urged disciples to “Take all your money and buy Bitcoin. Then . . . figure out how to borrow more money to buy more Bitcoin.” Saylor’s digital evangelism appealed to investors’ faith, not their reason. It was the polar opposite of Graham-and-Dodd fundamental analysis. After Bitcoin’s price fell by two-thirds, MicroStrategy stock crashed and Saylor resigned.

Another promoter, Mike Novogratz, had run a hedge fund but shuttered it after heavy losses, only to reemerge as CEO of Galaxy Digital, selling crypto-investment funds. Novogratz became a missionary at crypto conferences and on television and social media, promoting digital currencies with born-again faith. He said at a Bitcoin convention that his role was to preach without end, explaining, “I can’t stop.” Galaxy made a large investment in a new coin known as Luna, priced at less than \$1. As investors, including many small retail investors, jumped aboard, Luna surged to \$100. Novogratz triumphantly tweeted, “I’m officially a Lunatic!!!” The tweet included a tattooed image of a wolf baying at the moon on his left biceps. Months later, investors panicked, and Luna plunged by 99%. Investors lost billions of dollars. After the crash, Novogratz insisted in an interview that his ravings had included “words of caution,” though